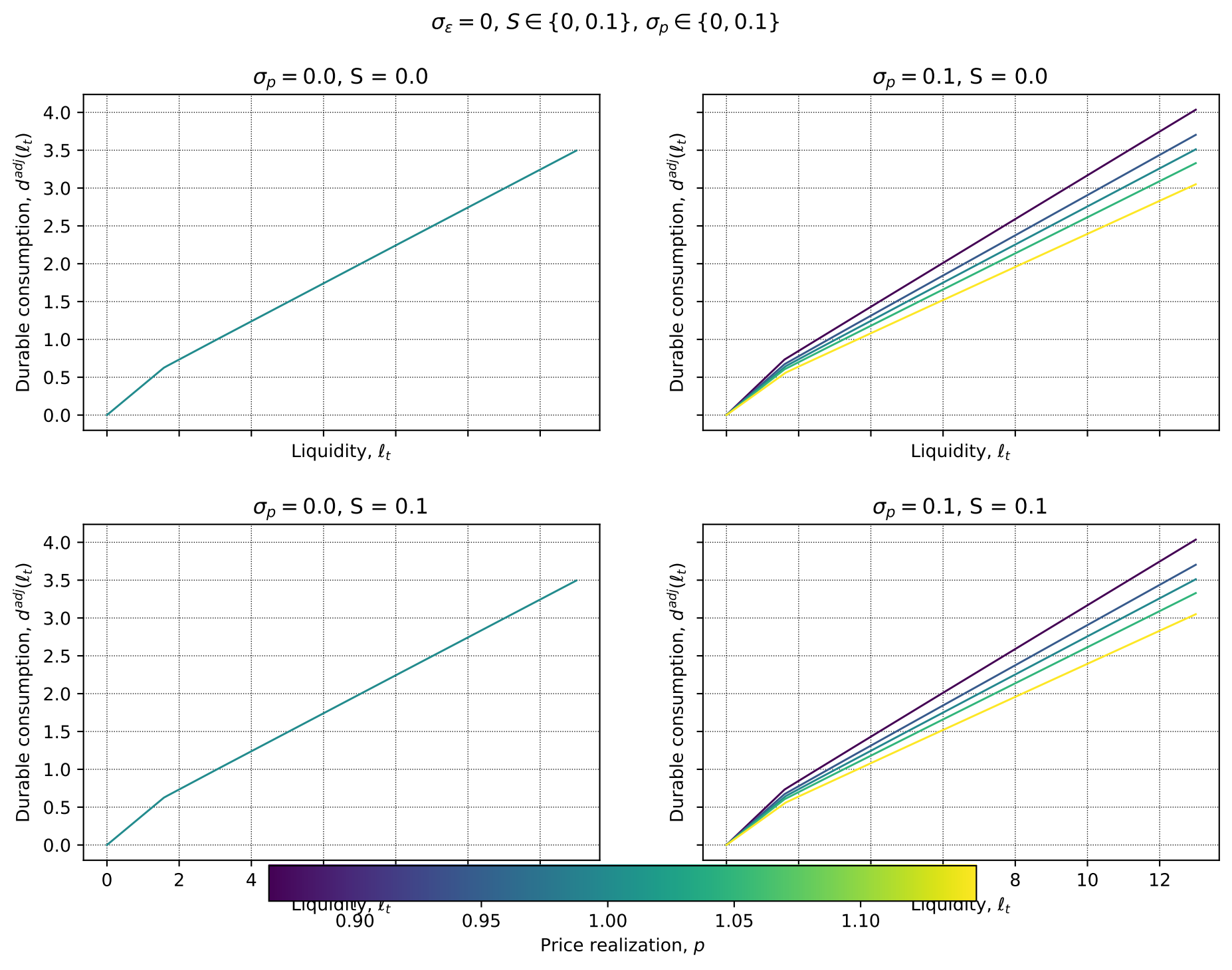
$\sigma_\epsilon = 0$, $S \in \{0, 0.1\}$, $\sigma_p \in \{0, 0.1\}$
$\sigma_p = 0.0$, S = 0.0
$\sigma_p = 0.1$, S = 0.0
$\sigma_p = 0.0$, S = 0.1
$\sigma_p = 0.1$, S = 0.1
Durable consumption, $d^{adj}(\ell_t)$
Liquidity, ℓ_t
Price realization, p
0.90
0.95
1.00
1.05
1.10